Consulting 101: Setting up your business

What is a consultant?

Consultant vs Subcontractor

Consultants they ..

- Represent clients interests
- Identify opportunities for clients
- Help prepare bid packages
- Offer advice/recommendations of meetings / events

Consultants do NOT ..

- Use their company info
- Bid projects in their name
- Get supplier credit
- Need to be registered in SAM

How much to charge?

2 Models

100% Commission

- Less risk for client
- Can ask for higher fee
- Easier to convert
- Works for unproven consultants
- Build trust

Commission + Monthly Stipend

- More risk for client
- Client wants lower % fee
- Harder to convert
- Less risk for new people (myth)
- Works better w/ people who believe in you

Should I take this route

Questions to consider

- Do I have an established business?
- Does that business meet min. requirements to bid jobs?
- Do I have the ability to perform the jobs? (money, vendor credit, team)

Questions to consider

- Do you want to make 100% of the money
- Are you able to do business development and contract mgmt?
- What is your relationship with control?

Conclusion

Look ahead

- Where to find your TEAM
- Contract Terms
- Preparing the Client
- Daily Tasks